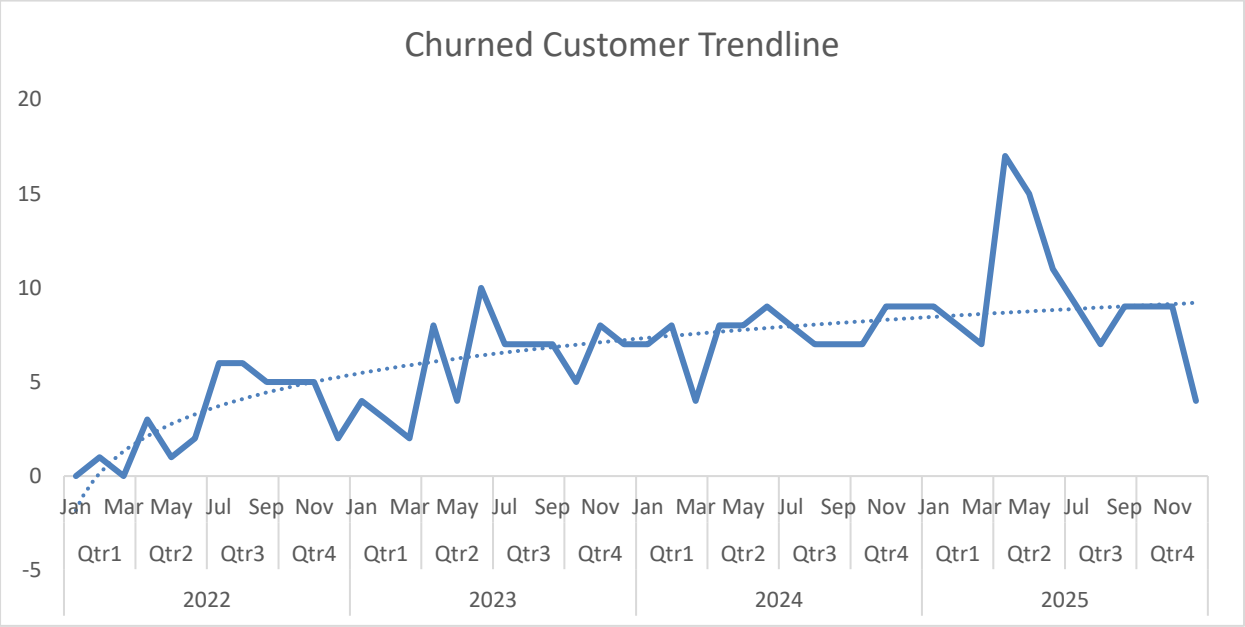
Questions to Answer

Q.1-What is the overall churn rate, and how has the monthly churn rate trended over the past 4 years? Is churn improving or getting worse?

A.1-From the data presented in the project I concluded that **Overall Churn Rate = 52.17%**, as for how monthly churn rate trended



We discover after studying information displayed on this chart that the trend line was going upward in year 2022 with a spike on July 2022 by **6 churned customer** compared by 2025 the trend line is steeper and has spike on April 2025 **by 17 churned customer** , Taking into account the total number of Customer in 2025, by this

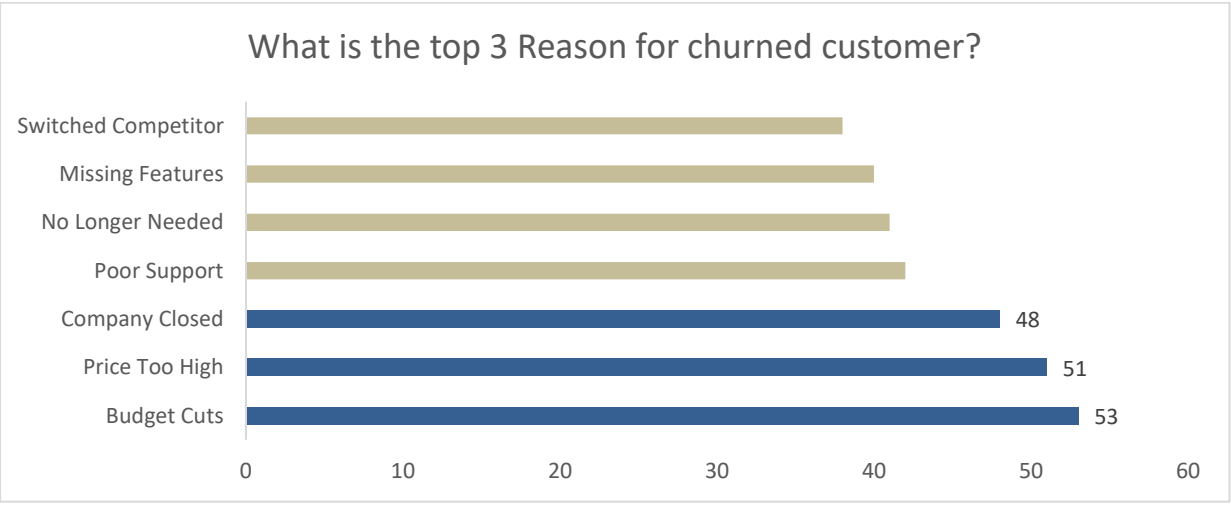
result we conclude that churning isn't getting worse or improving but the company is Walking on a thin rope ,if the company didn't take a immediate action it will get much worse

Q.2- Which subscription plan (Starter, Professional, Business, Enterprise) has the highest churn rate? Does billing cycle (monthly vs. annual) significantly impact retention?

A.2- Starter subscription plan has the highest churn rate by **70.51%,**

and from the Churned by Billing_cycle sheet we discovered customers with **monthly billing cycle** are more likely to churn by churn rate = **60.51%**

Q.3- What are the top 3 reasons customers churn, and do these reasons differ by plan type or company size?



A.3- from the result displayed on the chart above we discovered that the top 3 reason for customers to churn is **Budget Cuts** and **Price Too High** then **Company Closed** by customer churned 53, 51, and 48 respectively as for Plans Starter company is more likely to churn And the reason for it is (**Budget Cuts, Price Too High, Company Closed**) respectively and for company size the reason to churn is (**No Longer Needed**, **Company Closed**, **Poor support**).

From the statement above that is resulted from analyzing the dataset presented in the project, I reached the conclusion that reasons doesn't differ by plans from the overall churn reason but the reason for company size differ but Shares the **Company Closed** reason

Q.4- Calculate the average Customer Lifetime Value (CLV) by plan. Compare this to the Customer Acquisition Cost (CAC). Which plans are the most and least profitable?

A.4-

Plan	AvgMRR	Churn %	LifeSpan(Month)	CLV	CLV:CAC Ratio	CAC	200.04
Professional	497.0413	47.98	2.08	$ 1,035.93	$ 5.18	Total At-Risk Customers	67
Starter	215.5436	70.51	1.42	$ 305.69	$ 1.53		
Business	1303.636	41.25	2.42	$ 3,160.33	$ 15.80		
Enterprise	2984.993	22	4.55	$13,568.15	$ 67.83		

From this table I discovered that the **Enterprise** plan is the most profitable for having **Customer Lifetime Value (CLV)** = $13568.15 and the least profitable plan is **Starter** by having **CLV** = $305.69